

Form 1040 - Simplified Method Worksheet (Lines 5a and 5b)

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Tax Year 2025

Total pension/annuity payments

Cost in plan at annuity starting date

Number

Divide line 2 by line 3

Multiply line 4 by months

Recovered tax free after 1986

Subtract line 6

Smaller of line 5 or 7

Taxable amount → Form 1040 line 5b

Balance of cost to be recovered
